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GOOD GOVERNANCE FOR GROWTH IN AFRICA:

Beyond the Western–Chinese Binary

*Institutional Strength, Human Flourishing,
and a Civilisational Path of Partnership*



Rohit Viswanath

Marga Darshak:

Dr. M.B. Athreya, Padma Bhushan Awardee

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Dharmo viśvasya jagataḥ pratiṣṭhā
Dharma is the foundation of the entire universe.

Executive Summary

Africa's demographic momentum has revived global optimism about the continent's long-term economic trajectory. Yet demography alone does not produce prosperity. Sustained transformation depends on institutional architecture capable of aligning legitimacy, productivity and state capacity. The prevailing debate frames Africa's choices as a binary between Western neoliberalism and Chinese-style state capitalism. Neither model fully addresses the structural realities of plural African societies.

This paper proposes an alternative framework: the Plural Development Partnership (PDP). Drawing upon India's federal-democratic experience and comparative late-development histories, PDP rests on three design principles: decentralised legitimacy, coordinated state capability and disciplined economic sequencing. It emphasises adaptation rather than transplantation, reinforcing endogenous African reform trajectories rather than imposing external templates.

The paper integrates lessons from African developmental experiments, East Asian industrial coordination (including export-disciplined conglomerates), and institutional stewardship models such as India's trust-based corporate governance traditions. It introduces the normative principle of proportionate authority (*Dharma Rājya*), where power is exercised within acknowledged limits and growth is channelled through accountability.

Sustainable development requires simultaneous cultivation of scale and restraint, a balance now re-emerging at the centre of global development thinking. Growth that outruns institutional discipline erodes legitimacy; restraint without capability produces stagnation. Africa's next developmental phase will depend on leadership capable of aligning ambition with stewardship. The question is not whether alternative governance paradigms are needed, but who will experiment first.

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This is a working paper. Comments and suggestions are welcome and may be
addressed to: natyasastra.gurukulam@gmail.com

1. Africa's Structural Moment

In a recent *Financial Times* column, David Pilling urged readers to “prepare for take-off,” highlighting Africa’s demographic dynamism and entrepreneurial momentum.¹ The continent is young, urbanising and increasingly connected. But demographic vitality does not automatically translate into productive capacity. Economic history demonstrates that sustained growth requires institutional systems capable of converting social energy into structured capability.

Africa’s central challenge is therefore not whether it can grow, but whether governance systems can align legitimacy, productivity and state capacity in durable ways. For external partners, including India, this moment presents both an opportunity and a strategic test. Moving beyond rhetorical solidarity with the Global South will require offering something distinctive: not capital alone, not ideology, but institutional design compatible with plural democratic societies.

2. The False Binary

Africa’s development choices are frequently framed as a dichotomy.

On one side lies Western neoliberal orthodoxy: liberalisation, capital mobility and regulatory compliance regimes that emphasise macroeconomic discipline but often underplay structural transformation. On the other stands centralised state capitalism, associated with rapid infrastructure execution and concentrated authority, yet sometimes accompanied by rising debt burdens and limited local accountability.

Neither model fully aligns with Africa’s structural conditions. Liberalisation without capability building risks consumption without transformation. Centralised execution without plural legitimacy risks instability in ethnically and regionally diverse polities.

The experience of East Asia demonstrates that industrial transformation rarely emerged from laissez-faire environments. In South Korea, large conglomerates such as Samsung and Hyundai expanded under disciplined export-performance conditions, supported by coordinated state policy.² Scale was not accidental; it was structured. Yet performance benchmarks constrained rent-seeking. Scale and discipline advanced together.

Africa’s policy debate should therefore move beyond deregulation versus central command. The more relevant question concerns how plural democracies can institutionalise coordination without sacrificing legitimacy.

¹ David Pilling, “Africa’s Economy: Prepare for Take-Off,” *Financial Times*, February 7, 2026.

² Alice H. Amsden, *Asia’s Next Giant: South Korea and Late Industrialization* (Oxford: Oxford University Press, 1989).

Recent reassessments by the World Bank underscore the limits of this binary framing³. Having earlier dismissed industrial policy as a ‘costly failure,’ it now acknowledges that such advice ‘has not aged well,’ marking a shift in global thinking. The policy debate has moved from questioning whether industrial policy is valid to how it should be designed and executed. Yet this emerging consensus remains incomplete: it emphasises instruments, tariffs, subsidies and incentives, while underexamining the institutional and behavioural conditions required to discipline concentrated economic power.

3. The Plural Development Partnership

India’s Plural Development Partnership (PDP) offers one such framework.

PDP rests on three organising principles:

- **Decentralised legitimacy** – political authority embedded in federal or local structures that reflect social diversity.
- **Coordinated capability** – national-level institutions capable of strategic industrial sequencing and macroeconomic stability.
- **Disciplined execution** – performance-linked incentives that reward productivity over patronage.

Africa’s ethnic and linguistic diversity is not an obstacle to development; it is a design constraint that must be institutionally acknowledged. Excessive centralisation can intensify centre–periphery tensions. Yet decentralisation without coordination fragments markets and dilutes strategy.

India’s own trajectory involved managing precisely this tension: embedding federal democracy while gradually building national development capacity. It neither postponed democracy in favour of authoritarian discipline nor relied solely on liberalisation. Instead, it experimented with reconciling plural politics and state-led capability formation simultaneously.

PDP is not a template to be imposed. It is a structured partnership model designed to reinforce institutional competence in ways compatible with democratic legitimacy.

4. Adaptation, Not Transplantation

Africa comprises fifty-four sovereign states shaped by distinct colonial inheritances, political coalitions and resource endowments. Implementation must be nationally calibrated.

Encouragingly, endogenous developmental agency is visible. As discussed in analyses surrounding Joe Studwell’s *How Asia Works*, countries such as Botswana, Mauritius, Ethiopia and Rwanda demonstrate that disciplined

³ World Bank, as reported in Paul Hannon, “World Bank Embraces Industrial Policy, Abandoning Three Decades of Stigma,” *Wall Street Journal*, March 18, 2026.

sequencing is possible.⁴ These cases did not follow laissez-faire orthodoxy. Nor did they replicate East Asia mechanically. They raised agricultural productivity, aligned finance with performance and cultivated developmental coalitions suited to local political realities.

Mauritius forged cross-ethnic consensus and recycled rents into export-led manufacturing. Botswana leveraged mineral wealth without succumbing to extractive predation. Ethiopia prioritised agricultural productivity alongside industrial parks. Rwanda invested heavily in administrative discipline and service delivery capacity.

These experiences show that institutional design choices matter. PDP operates as amplification, not instruction, reinforcing reformist momentum where it already exists.

5. Scale, Stewardship and Institutional Restraint

Industrial transformation requires scale. Yet scale without institutional restraint risks oligarchic capture.

India's corporate history provides instructive examples. The governance architecture of Tata Group illustrates how ownership structures embedded in philanthropic trusts can channel corporate ambition toward long-term national development.⁵ Here, stewardship was not left to personal virtue alone; it was institutionalised.

This insight aligns with the argument advanced by Dr. M. B. Athreya in his writings on ethical wealth creation: restraint and enterprise need not be adversarial. Institutional design can align ambition with accountability, converting profit-seeking into developmental stewardship.⁶

Late development has often depended on large firms operating under performance discipline, whether East Asian conglomerates or national champions elsewhere. The relevant policy question is therefore not whether scale should exist, but how it is governed, a question now returning to the centre of global debate as industrial policy regains legitimacy.

6. Digital Public Infrastructure and Capability Formation

India's experience with digital public infrastructure further demonstrates how institutional depth can coexist with decentralised legitimacy. Scalable identity systems, interoperable payment platforms and direct benefit mechanisms

⁴ The Economist, "Africa Needs to Follow Asia's Path to Grow," February 12, 2026

⁵ R. M. Lala, *The Creation of Wealth: The Tatas from the 19th to the 21st Century* (New Delhi: Penguin, 2004).

⁶ M. B. Athreya, "Dharma, with Artha, is possible – Even in Big Business!" *Tattvāloka*, December 2024.

illustrate how technology can reduce leakages, improve targeting and enhance transparency.

For African states seeking to expand inclusion without fiscal erosion, digital architecture can serve as governance backbone. Properly designed, it enables structured devolution without opacity and inclusion without administrative bloat.

This limitation is not confined to digital systems. Across the renewed interest in industrial policy, the dominant focus remains on administrative capacity and policy design. Less attention is given to how authority is exercised in practice, particularly in environments where state discretion and capital concentration expand simultaneously. Yet technology remains instrument, not substitute. Durable development depends on disciplined credit allocation, competent civil services and development finance aligned with productivity benchmarks.

7. Dharma Rājya and Developmental Leadership

The re-emergence of industrial policy in global development discourse sharpens an older question: how can expanded economic coordination avoid degenerating into excess concentration or capture? Historical experience suggests that capability without restraint is inherently unstable. As states and firms scale simultaneously, the central challenge is not merely designing policy, but structuring the exercise of power.

Institutional design alone does not secure transformation. The decisive variable is how authority is exercised.

Empirical studies of developmental coalitions emphasise leadership willing to subordinate factional advantage to long-term productivity.⁷ Where coalitions fragment, reform stalls.

This empirical observation invites normative articulation through the concept of *Dharma Rājya*.

Dharma Rājya does not imply theological governance. It denotes a structural condition in which power operates under restraint. Legitimacy flows not from concentration of authority but from its proportionate exercise. Authority endures because it is disciplined.

Dharma operates at nested levels: individual, institutional, national and systemic. When obligations conflict, the higher-order responsibility prevails. Applied to development strategy, this principle yields practical heuristics:

- Short-term populism must yield to macroeconomic stability.
- Elite rent distribution must yield to productivity formation.

⁷ Mushtaq H. Khan, “Political Settlements and the Governance of Growth-Enhancing Institutions,” SOAS Working Paper, 2010.

- Announcement politics must yield to execution discipline.

Institutional breakdown rarely begins with regulatory absence; it begins with behavioural distortion at the apex of power: unchecked ambition, patronage substitution, ego suppression of feedback. These are governance risk variables.

Dharma Rājya treats them as structural design questions. Industrial policy must be insulated from patronage. Development finance must be performance-linked. Administrative authority must be reviewable. Incentives must reward long-term stewardship.

Growth that outruns restraint erodes legitimacy. Restraint without capability produces stagnation. Sustainable development requires their simultaneous cultivation.

8. A Strategic Moment

Africa's demographic transition creates structural possibility. Urbanisation, literacy expansion and labour-market pressure intensify demand for productivity and employment. Material preconditions for industrial expansion are gradually emerging.

The decisive variable will be whether political leadership can align institutional competence with ethical restraint.

The global re-legitimation of industrial policy reinforces the urgency of this moment. As more states experiment with coordinated development strategies, divergence will increasingly depend not on policy adoption, but on the quality of institutional restraint embedded within those strategies.

The Plural Development Partnership, enriched by the structural ethic of *Dharma Rājya*, offers not a blueprint but a synthesis: contextual adaptation, disciplined sequencing and leadership animated by proportionate authority.

If India contributes to refining and supporting this synthesis, it will not merely participate in Africa's rise. It will help shape the institutional foundations upon which that rise depends; foundations where capability is matched by restraint, and power by proportion.

Such foundations require structured experimentation. The principles outlined here lend themselves to pilot applications within governments, development finance institutions, digital infrastructure ecosystems and corporate governance frameworks seeking alignment between scale and accountability.

The question is no longer whether alternative governance paradigms are necessary. It is who will institutionalise them first.
